

Stereo.HCJDA 38.

Judgment Sheet

LAHORE HIGH COURT

RAWALPINDI BENCH RAWALPINDI

JUDICIAL DEPARTMENT

....

WRIT PETITION NO.2649 of 2023

ABDUL SATTAR

Versus

GOVERNMENT OF PUNJAB through Secretary Taxes, Revenue
Department, Lahore and 3 others

JUDGMENT

Date of hearing:	<u>27.05.2025</u>
Petitioner by:	M/s Syed Tassadaq Mustafa Naqvi and Muhammad Adnan Awan, Advocates.
Respondents by:	M/s Malik Amjad Ali, Additional Advocate General and Rahat Farooq Raja, Assistant Advocate General Punjab.

MIRZA VIQAS RAUF, J. Facts germane for adjudication of titled petition are that the petitioner purchased property commonly known as “Rani Ghee Mill”, forming part of Khewat No.22/2, Khatooni No.29, Khasra No.12/2/1, Qitat-1, measuring 49 Kanal 2 Marla situated in the revenue estate of Bala Bhotyal, Tehsil and District Jhelum through registered sale deed bearing No.2266 dated 16th August, 2018, in furtherance whereof Mutation No.1518 was incorporated in the revenue record. As per averments contained in the petition, at the time of presentation of sale deed for registration since no rates for ghee mills were mentioned in the valuation table issued by the District Collector for the year 2018-2019 so considering the industrial nature of the property, the fixed industrial rates of flour mill (above 4 Kanal) i.e. Rs.82,280,000/- as provided in the valuation table, were mentioned for the assessment of stamp duty and other dues. It is

asserted that the petitioner accordingly paid the requisite stamp duty, amounting to Rs.4,126,000/- on the sale deed together with the registration fee, Municipal Committee/Local Council fee Rs.825,000/- and Advance Tax Rs.1,650,000/- etc. as per vouchers issued by the office of respondent No.3.

2. The root cause of controversy is, however, a notice issued by respondent No.3 in pursuance to an audit note whereby he asked the petitioner to deposit further payment of Rs.46,374,350/- within three days, failing which coercive measures shall be used for recovery of amount so claimed. The petitioner then voiced his grievance before respondent No.2, through an application but receiving no response, he filed Writ Petition No.331 of 2020, which was disposed of vide order dated 4th February, 2020 with the direction to District Collector/District Registrar, Jhelum to decide the issue involved in the petition, while passing a speaking order and taking up the application of the petitioner, already pending in his office. The District Collector in furtherance of above said order passed order dated 30th June, 2020 and pursuant thereto respondent No.3 issued fresh notice dated 13th July, 2020 for payment of alleged deficient stamp duty amounting to Rs.46,374,350/- within a period of two days. The petitioner again resorted to the constitutional jurisdiction of this Court through Writ Petition No.1617 of 2020 which too ultimately was disposed of vide order dated 24th February, 2022 with consent. The Commissioner, Rawalpindi Division (respondent No.4), who was seized with the matter in terms of order dated 24th February, 2022, directed the Deputy Commissioner, Jhelum to assess the case of petitioner as per industrial D.C. rate (2018-2019), while confirming, whether D.C. rates as to industrial land, have been formulated in accordance with Punjab Stamp (Valuation Tables in respect of Urban Land) Rules, 1999 and have been correctly applied to the petitioner's case. The Deputy Commissioner, Jhelum in pursuance to the order of Commissioner proceeded to pass the order dated 21st June, 2023 in furtherance whereof, respondent No.3 again issued a notice dated 25th August, 2023 directing the petitioner to deposit the deficient stamp duty within

seven days which is impugned by the petitioner now through this petition under Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973. It would not be out of context to mention here that during the pendency of petition, respondent No.4 passed order dated 23rd October, 2024, which has also been brought under challenge by the petitioner with the leave of the Court granted vide order dated 23rd December, 2024

3. In the light of grounds canvassed in this petition, notice was issued to the respondents, who submitted their report and parawise comments wherein it is pleaded that Auditor, Taxes Wing, Board of Revenue, Punjab Lahore Rawalpindi Circle-B carried out audit/inspection in the office of Sub-Registrar, Jhelum and vide his audit Note No.10/September/2019/ATW-RWP-B dated 11th October, 2019, pointed out a huge deficiency amounting to Rs.4,96,55,746/- under the head of stamp duty, including the deficiency relating to sale deed registered in the name of the petitioner. As per audit note in the D.C. valuation table (2018-2019), the rates of ghee mill were not given specifically and instead the industrial rates of flour mill (above 4 Kanal) were provided in the D.C. valuation table as Rs.82,280,000/- per Bigga. The said rates were though applied but while generating the E-Stamping Challan only landed area just 1 Bigga was inserted instead of actual 12.275 Bigga (i.e. 49 Kanal 2 Marla). The Auditor Taxes Wing also reported that 25 registered deeds were found insufficiently stamped and thus impounded the same under Section 33 of the Stamp Act, 1899 (hereinafter referred to as “**Act, 1899**”) and referred the matter to the District Collector, Jhelum for further action in terms of Section 40 of the **Act, 1899**.

4. Learned counsel for the petitioner submitted that petitioner purchased the property in question which was in the shape of vacant plot, though its vendor was Rani Ghee Mills Limited a public company. It is contended that at the time of presentation of registered sale deed, the rates of Ghee Mill were since not mentioned in the D.C. valuation table for the years 2018-2019 so considering the industrial nature of property, the fixed industrial rates of flour mill (above 4

kanal) provided in the D.C. valuation table were applied for the assessment of stamp duty and other dues. Learned counsel further contended that despite payment of stamp duty and other dues, the petitioner was confronted with a notice of demand on the basis of audit note which is not tenable at all. It is argued with vehemence that while issuing the demand notice, adherence was not made to the mandatory provisions of the **Act, 1899**. Learned counsel to this effect has made reference to Sections 27-A, 31, 32 & 33 of the **Act, 1899** as well. In order to supplement his contentions, learned counsel placed reliance on NAZIR A.M. JOINT VENTURE through Chief Executive versus The NATIONAL HIGHWAY AUTHORITY through Chairman and 4 others (PLD 2020 Lahore 801), RIZWAN ALI SAYAL versus FEDERATION OF PAKISTAN and others (2024 PTD 32), BAYER PAKISTAN (PVT.) LTD. versus BOARD OF REVENUE and others (2002 CLD 823) and NASTLE PAKISTAN LIMITED through Authorized Signatory versus SUB-REGISTRAR, NISHTAR TOWN, LAHORE and another (PLD 2024 Lahore 94).

5. Conversely, learned Law Officer submitted that the petitioner himself presented the sale deed for its registration while mentioning the industrial rates of Flour Mill (above 4 kanal) as provided in the valuation table for the years 2018-2019 as Rs.82,280,000/- but said rate was to be applied per Bigga and as the total land of the petitioner was 49 kanal 2 marla so it becomes to 12.275 Bigga but the petitioner paid the stamp duty only as per one Bigga. Learned Law Officer added that deficiency in stamp duty was unveiled by the Audit department and the petitioner is bound to pay the demanded amount. It is emphatically argued that the demand was raised strictly in accordance with law and the petitioner is precluded to challenge the same. Reliance is placed on Messrs LAFARGE PAKISTAN CEMENT COMPANY versus DISTRICT COLLECTOR, CHAKWAL and others (PLD 2016 Supreme Court 604).

6. Heard. Record perused.

7. The petitioner purchased immoveable property in the shape of land measuring 49 kanal, 02 marla situated at Main Grant Trunk Road Jhelum near Punjab University (Jhelum Complex), forming part of Khewat No.22/2, Khatoni No.29 and Khasra No.12/2/1 (min) in the revenue estate of Bala Bhotyal, District Jhelum through sale deed bearing No.2266 dated 16th August, 2018. At the time of presentation of sale deed for registration before the Sub-Registrar, Jhelum, the value of land was mentioned at Rs.82,280,000/- per Bigga as per D.C. Valuation Table (2018-2019) by treating as Flour Mill (above 04 kanal) as per Serial No.1681. During the audit / inspection of Sub-Registrar office, Jhelum, the Audit Officer found various documents, including the sale deed of the petitioner, insufficiently stamped and as such he impounded the said documents under Section 33 of the **Act, 1899** and referred the matter to the Deputy Commissioner / District Collector, Jhelum to be dealt with under Section 40 of the **Act, 1899**. This followed the issuance of notice to the petitioner directing him to make payment of the deficient stamp duty which lead to the present litigation. This is third petition on behalf of the petitioner before this Court. Earlier in W.P.No.1617 of 2020, vide order dated 24th February, 2022, with consent of all, the matter was referred to respondent No.4 with the following observations:-

2. Learned counsel for the petitioner, at the very outset, while making reference to Section 27-A of the Stamp Act, 1899 submits that the matter in issue falls within the domain of the Commissioner and the impugned order is *corum-non-judice* as the Collector was not vested with any such authority to pass the order. He has also drawn the attention of this court to the report and para-wise comments submitted by respondent No.2 wherein it is categorically mentioned that petitioner has a right of appeal under Section 27-A of the Act *ibid* before the Commissioner. Though matter was transmitted to the Collector/respondent No.2 through order dated 4th February, 2020 but apparently there is a due force in the contention of learned counsel for the petitioner that he was not vested with any power or authority to determine the issue. This aspect has even been very fairly conceded by learned Law Officer.

3. In view thereof, with the consent, this petition is accepted as a result order dated 30th June, 2020, is set-aside being void. As a sequel, this petition alongwith its annexures is

transmitted to the Commissioner Rawalpindi who shall decide the same keeping in view the mandate of Section 27-A of the Stamp Act, 1899 and other related provisions after affording the opportunity of hearing to the petitioner as well as other concerned through a speaking order strictly in accordance with law within 45 days from the date of receipt of instant order. In order to streamline the process, the petitioner shall appear before the Commissioner Rawalpindi on 02.03.2022 at 12.00 p.m. Learned Law Office shall also convey the order to the Commissioner, Rawalpindi for compliance.

Respondent No.4, while proceeding in terms of the above said order, referred to the matter to respondent No.2 through order dated 26th March, 2022 by recording following reasons:-

Prima facie, impugned registered deed relates to the Rani Ghee Mill Asset, as the vendor was itself Rani Ghee Mills Ltd. through its Chief Executive, however, the subject matter of the agreement was land as per the stipulation i.c., "The land is in the shape of an open plot while the construction raised thereon has been demolished". In stricto sensu, parties have stipulated to transact a land without a construction thereon. Record reveals that the same subject matter land was acquired in 2006 and its mutation was incorporated, in the name of Judicial Complex, Lahore High Court, and thereafter in the name of Punjab University Complex on 06-01-2011. Similarly, the land was renounced/abandoned By Govt. in the favor of Rani Ghee Mill, thereafter mutation was incorporated in favor of Rani Ghee Mill on 09-05-14. The representative of the Revenue department while depicting the ground position, corroborated the stance of the petitioners that no structure exists on the site/subject matter land. However, the sale of land was registered while presuming/infering it of industrial nature..

Petitioner deposited stamp duty as per DC rate(2018-19) in serial number 1681, while presuming that a fixed rate, i.e., Rs. 82,280,000/- on the whole piece of land is applicable in the instant case. While examining the DC rates (2018-19), it appears that Flour Mills upto 4 kanal (Sr#1686) has a fixed rate i.e., Rs. 71,500,00/-in terms of Bigga, as unit of measure. It means a Mill measuring 1 kanal has to be reckoned on the fixed rate of Bigga. Conversely, reckoning on Sr # 1681, a flour Mills above 4 Kanal, has a DC rate i.e., Rs. 82,280,000/- more than the aforementioned category i.e., 71,500,00/-. It transpires that a favourable/lenient interpretation is expected if both the categories are placed in juxtaposition. Moreover, as per DC rate of year 2016-17 in serial number 889, a fixed rate of Rs.72,500,000/- has been provided for a Flour Mill above 4 Kanal. When DC rate is examined qua its quantum vis-à-vis the nature of land, it reveals that one Kanal Land is fixed at the rate of 20,570,000/- which is excessive/exorbitant vis-à-vis the industrial nature of land. However, it is being confused with the nature of the land i.c., Commercial. Similarly unit of measure i.e., Bigga and covered area rate (sq.ft.) has

no equilibrium/parity. So, the DC rates have ambiguity/uncertainty in this regard. Any lenient view/pro and contra view is expected from the columns. Hence, by no stretch of imagination, a land meant for industry, can be excessive DC rate.

Keeping in view the above ratio, Deputy Commissioner, Jhelum is directed to cess the case of petitioners as per industrial DC rate (2018-19), while conforming whether the DC rates as to industrial land, have been formulated in accordance with Punjab Stamp (valuation Tables in respect of Urban-Land) Rules, 1999, and has been correctly applied to the petitioner case. Any latitude in the interpretation of Sr. Numbers, is evident from aforementioned ratio, hence same has significance.

With the findings above, petition in hand is disposed of.

Respondent No.2 then passed order dated 21st June, 2023 to the following effect:-

11. From the perusal of record and order dated 30.06.2020 and 11.08.2020 passed by my predecessor, it is crystal clear that:-

- i. Petitioner purchased land measuring 49 Kanals 02 Marlas whereas Stamp Papers/Challan generated through E-Stamping was of 04 Kanals, one Bigga. only.
- ii. It is also cleared from the deed No. 2266/1 that neither petitioner nor Registration Clerk mentioned the serial number of Valuation Table in the sale deed nor Sub Registrar pointed out this omission. This deliberate omission is intriguing.
- iii. It is evident from the record that petitioner has himself submitted an affidavit to the office of Sub Registrar, Jhelum that in case of deficiency of Stamp Duty at the time of audit, he will be responsible to deposit the deficient amount.
- iv. No justification/solid reasons have been submitted during hearing of the case.

12. After hearing all parties and perusing record/inspection note carried out by the Board of Revenue, Punjab, it is established that the Auditor of Board of Revenue pointed out this deficiency on the basis of available record and rate mentioned in the Valuation Table for the year 2018-19 approved by the Deputy Commissioner Jhelum. It has also been observed that neither Sub-Registrar nor petitioner mentioned Valuation Table number at Sale Deed. Registry Muharrir too remained silent on this omission. Hence, contention of the petitioner that it was typo error is not supported from available record. I am of the opinion that the order passed by my predecessor dated 30.06.2020 and 11.08.2020 are in accordance with law. The undersigned fully endorse both the orders. Abdul Sattar Vandee is directed to

deposit the deficient amount Rs. 4,63,74,350/- alongwith one time penalty of the deficient amount Rs. 4,63,74,350/- within 7 days. Sub Registrar, Jhelum with the direction to recover the total deficient amount to Rs.9,27,48,700/- (Rupees Nine crore twenty seven lac forty eight thousand and seven hundred). File be consigned in record room after due completion.

The above order was initially assailed by the petitioner through instant petition, however, in the meanwhile, respondent No.4 passed the order dated 23rd October, 2024 which was too then assailed by introducing necessary amendments in the writ petition with the leave of Court.

8. The prime object and purpose of the **Act, 1899** is to consolidate and amend the law relating to stamps. Section 3 of the **Act,1899** signifies the instruments chargeable with duty. Manner and mode of payment of duties is prescribed in Section 10 of the **Act, 1899**. Section 27-A of the **Act, 1899**, provides the mechanism how the valuation of the immoveable property is to be calculated. For ready reference and convenience, same is reproduced below:-

[27-A. Valuation of immovable property.– (1) Where any instrument chargeable with *ad valorem* duty under Articles 23,31 or 33 of Schedule-I relates to an immovable property, the value of the immovable property shall be calculated according to the valuation table notified by the district collector in respect of immovable property situated in the locality.

(2) Where an instrument mentioned in subsection (1) relates to immovable property consisting of land and structure, it shall state the value of the land and structure separately and the value of the structure stated in the instrument shall, subject to the provisions of this Act, be accepted.

(3) Where the value of immovable property stated in an instrument to which sub-section (1) applies is more than the value fixed according to the valuation table, the value declared in the instrument shall be accepted as value for the purposes of stamp duty.

(4) Where the value given in the valuation table notified under subsection (1), when applied to any immovable property, appears to be excessive, the deputy commissioner or commissioner (revenue) or any other person notified by the Government for this purpose may, on application made to him by the aggrieved person, determine its correct value and for that purpose the provisions of sections 31 and 32 shall apply as nearly as possible.].

It appears that the petitioner, while keeping in mind the above provision, mentioned the value of the land as Rs.82,280,000/- per Bigga, as provided in the D.C. Valuation table (2018-2019) for industrial rate of Flour Mill (above 4 kanal) but as per stance of the respondents, the petitioner was though obliged to pay the stamp duty on 12.275 Bigga but instead he paid the same as per 01.Bigga.

9. The core issue which thus stems in the above backdrop is as to whether there is any impediment in the way of respondents to claim the amount in question on account of deficiency in the stamp duty on the basis of audit note. To the above effect, learned counsel for the petitioner has heavily relied upon the judgment in the case of **Nazir A.M. Joint Venture** (*supra*), the facts of which runs on entirely different stream. In the said case, construction contract was executed between the National Highway Authority (hereinafter referred to as “N.H.A.”) and Nazir A.M. Joint Venture, the terms of which were varied from time to time. The dispute arose on account of a direction given by the Public Accounts Committee to the N.H.A. to recover amounts from Nazir A.M. Joint Venture. N.H.A. proceeded in terms of the directions to recover the amount albeit it had approved all amendments made to construction contract. In this backdrop, it was observed that N.H.A. cannot receive the disputed amounts as there are no instructions from the public accounts committee in this regard which even otherwise is a recommendatory committee. It was, however, observed that if at all there is an audit objection, that objection has to be considered and dealt with as per law, whereafter due process must be initiated if at all recovery is to be taken of any amount from the petitioner therein which means acting under the construction contract, giving notice to the petitioner therein and obtaining a declaration from the competent forum that the petitioner owes amounts to the N.H.A. as amounts paid in excess under the construction contract.

10. So far in the case of **Nestle Pakistan Limited** relied upon by learned counsel for the petitioner, the document was impounded by the local commission on behalf of Sub-Registrar and in that

eventuality it was held that local commission is not a public officer, he was instead a representative on behalf of Sub-Registrar and in case of any omission or commission, instead of taking any action by himself, local commission was bound to report the matter to the Sub-Registrar whereas judgments in the case of **Beyer Pakistan (Pvt.) Limited** and **Rizwan Ali Sayal** (*supra*) are rested on entirely different facts and circumstances thus not applicable to the case in hand at all.

11. Proceeding in the light of above perspective, it is noted that in the present case the deficiency in payment of stamp duty was detected by the audit officer who then referred the matter to the collector for proceeding in terms of Section 30 of the **Act, 1899**.

12. Chapter IV of the **Act, 1899** deals with the instruments not duly stamped. Section 33 carves the procedure and impounding of instruments which reads as under:-

33. Examination and impounding of instruments.(1) Every person having by law or consent of parties authority to receive evidence, and every person in charge of a public office, except, an officer of police, before whom any instrument, chargeable in his opinion, with duty, is produced or comes in the performance of his functions, shall, if it appears to him that such instrument is not duly stamped, impound the same.

(2) For that purpose every such person shall examine every instrument so chargeable and so produced or coming before him in order to ascertain whether it is stamped with a stamp of the value and description required by the law in force in [Pakistan] when such instrument was executed or first executed:

Provided that -

- (a) nothing herein contained shall be deemed to require any Magistrate or Judge of a Criminal Court to examine or impound, if he does not think fit so to do, any instrument coming before him in the course of any proceeding other than a proceeding under Chapter XII or Chapter XXXVI of the Code of Criminal Procedure, 1898 (V of 1898);
- (b) in the case of Judge of a High Court, the duty of examining and impounding any instrument under this section may be delegated to such officer as the Court appoints in this behalf.
- (3) For the purpose of this section, in cases of doubt, -
 - (a) [the Provincial Government] may determine what offices shall be deemed to be public offices; and

- (b) [the Provincial Government] may determine who shall be deemed to be persons in charge of public offices.

From the bare perusal of Section 33 of the **Act, 1899**, it clearly manifests therefrom that every person having by law or consent of parties authority to receive evidence and every person in charge of a public office other than a police officer, before whom any instrument chargeable with duty is either produced or comes in the performance of his functions shall if it in his opinion is not duly stamped, impound the same. The sale deed in question came before the Audit Officer in the performance of his functions so he was fully competent to impound the same and as such he referred the matter of deficiency of stamp duty to the Collector in terms of Section 40 of the **Act, 1899**. Guidance in this respect can be sought from Messrs LAFARGE PAKISTAN CEMENT COMPANY versus DISTRICT COLLECTOR, CHAKWAL and others (PLD 2016 Supreme Court 604). The relevant excerpts are reproduced below:-

8. The other question emerging for the consideration of this Court is as to when the Collector can recover duties, penalties and other sums required to be paid, under Chapter IV of the Stamp Act. Sections 33, 38 and 48 of the Act provide the answer which read as under:-

"33. Examination and impounding of instruments: (1)
Every person having by law or consent of parties authority to receive evidence, and every person in charge of a public office, except an officer of police, before whom any instrument, chargeable in his opinion, with duty, is produced or comes in the performance of his functions, shall, if it appears to him that such instrument is not duly stamped, impound the same.

(2) For this purpose every such person shall examine every instrument so chargeable and so produced or coming before him in order to ascertain whether it is stamped with a stamp of the value and description required by the law in force in Pakistan when such instrument was executed or first executed:

Provided that -

(a) nothing herein contained shall be deemed to require any Magistrate or Judge of a Criminal Court to examine or impound, if he does not think fit so to do, any instrument coming before him in the course of any proceeding other than

a proceeding under Chapter XII or Chapter XXXVI of the Code of Criminal Procedure, 1898;

(b) in the case of a Judge of a High Court the duty of examining and impounding any instrument under this section may be delegated to such officer as the Court appoints in this behalf.

(3) For the purposes of this section, in cases of doubt, --

(a) the Provincial Government may determine what offices shall be deemed to be public offices; and

(b) the Provincial Government may determine who shall be deemed to be persons incharge of public offices.

38. Instruments impounded how dealt with: *(1) When the person impounding an instrument under Section 33 has by law or consent of parties authority to receive evidence and admits such instrument in evidence upon payment of a penalty as provided by Section 35 or of duty as provided by Section 37, he shall send to the Collector an authenticated copy of such instrument, together with a certificate in writing, stating the amount of duty and penalty levied in respect thereof, and shall send such amount to the collector, or to such person as may appoint in this behalf.*

(2) In every other case, the person so impounding an instrument shall send it in original to the collector.

48. Recovery of duties and penalties: *All duties, penalties and other sums required to be paid under this chapter may be recovered by the Collector by distress and sale of the movable property of the person from whom the same are due, or by any other process for the time being in force for the recovery of arrears of land-revenue."*

9. A bare reading Section 33 of the Act reveals that every person incharge of a public office except an officer of police, before whom any instrument chargeable with duty is produced or comes in the performance of his functions shall, if it in his opinion is not duly stamped, impound the same. The words "produced or comes in the performance of his functions" used in the Section envisage two different occasions. One arises when the instrument is produced before the person having authority to receive evidence. The other arises when the instrument comes in the performance of his functions. The argument that Collector under Section 48 of the Stamp Act could have recovered the duties, penalties and other sums required to be paid under Chapter IV of the Stamp Act if the instrument had been produced in evidence and impounded on account of being deficiently stamped in view of the provisions contained in Sections 33 and 38 of the Stamp Act, would have been tenable had the words "or comes in

the performance of his functions" been not there in the section. The cases of Hanuman Prasad v. The State of Rajasthan (AIR 1958 Rajasthan 291), Thakar Das and others v. The Crown (AIR 1932 Lahore 495), Dairy Farm v. Emperor (AIR 1942 Lahore 257), Chandrasaji Maharaj v. Chief Controlling Revenue Authority (AIR 1986 Madhya Pradesh 132), Lala Uttam Chand v. Perman Nand and others (AIR 1942 Lahore 265), Abdur Rehman v. Raabia Bibi (PLD 1984 Lahore 407) and Imtiaz Rafi Butt v. The Lahore Development Authority (PLD 1996 Lahore 663) (supra) referred to by the learned Sr. ASC for the appellant having different and distinguishable facts are not attracted to the case in hand when it is not disputed that the instrument in question came before the Collector not once but thrice in the performance of his functions after its registration. The last argument of the learned Sr. ASC for the appellant that where there is nothing on the record to show that the appellant willfully under-stamped the deed to evade the payment of the proper stamp-duty it cannot be subjected to any penalty, does not deserve unqualified acceptance when provisions contained in Articles 40 and 15 of the First Schedule of the Act being clear and unambiguous do not admit of more than one interpretation. The judgments rendered in the cases of Smt. Kamla Devi v. The Chief Controlling Revenue Authority, Delhi and Messrs Humayun Ltd. v. Pakistan and others (supra) are not applicable when the appellant through the civil suit and the writ petitions tried to justify what was unjustifiable. However, in the circumstances of the case, we hold that five times penalty is too harsh and that two times penalty of the deficient portion of the duty would be sufficient to meet the ends of justice.

13. After having a brief survey of relevant facts as well as applicable law, it can safely be observed that the proposition involved herein is neither intricate nor ticklish. The only question emerges for resolution is that when both sides are not disputing the mentioning of industrial rates of Flour Mill (above 04- kanal) i.e. Rs.82,280,000/- per Bigga in the sale deed then how much of the stamp duty is to be paid/levied by the petitioner on the sale instrument. The petitioner even himself valued his land in the sale deed as per D.C. rates as Rs. 82,280,000/- per Bigga but admittedly the total land, subject matter of sale deed, was 49-kanals 02 marlas which comes to 12.275 Bigga and thus the petitioner's sale deed, at the face of it, was not sufficiently stamped. This anomaly was observed by the Audit Officer, who then placed the matter before the Collector and as such petitioner was confronted with the demand notice of stamp duty deficiently paid and rightly so.

14. The nutshell of the above discussion is that the petitioner has failed to point out any illegality or perversity in the impugned order as well as demand notice, resultantly, this petition fails and is **dismissed** with no order as to costs.

(MIRZA VIQAS RAUF)
JUDGE

Dictated on 13.06.2025.

Signed on 19.06.2025.

Announced in open Court on 19.06.2025.

JUDGE

APPROVED FOR REPORTING

JUDGE

Sajjad